Q15

VC investors specialise in providing initial funding to new businesses. They tend to buy equity in response to the risk associated with supporting these ventures. [1]

Their business logic is that an equity stake in a new venture will appreciate at a significant rate if the venture turns out to be successful. [1]

The only way to realise that appreciation is to sell the shares, which will be much easier to do if the company is listed as soon as possible after the initial growth phase. [1]

If the company is quoted then it will be possible to release the VC's equity as a cash sum that can be invested in a fresh business venture. [1]

The only alternative would be for the VC to seek a buyer for an unquoted investment, but that would be a difficult and time consuming process and would probably realise less than the true value of the equity. [1]

[Total 5]

Commentary:
Some candidates just stated what a VC was rather than why they would seek a quotation on the stock exchange. Apart from this, candidates did make good points.

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